

Lead Buying Recommendations

Deals \$35,000 and Under

All RTR in 12 figures cover the time frame 1/1/24 through 5/1/26. These recommendations come from giving all of the raw deal data to Claude for analysis, then researching and verifying every relevant cohort inside of Looker for a recent time frame.

The Big Picture

Deals of \$35,000 and under perform well as a class. Buying leads that hit 3 or 4 of the lead buy recommendations below, should make us confident in the performance of the leads. As an example, customers in the strong industries and preferred states, with 4 or more years in business and owners 45 and older, collect a 1.35 in 12 months.

Lead Buy Recommendations

1. **Industries:** Buy healthcare, especially dentists and chiropractors plus gyms and fitness studios, sports training, pet services (grooming, boarding, vets), childcare and education, landscaping and outdoor services, manufacturing, bakeries and QSR, and ag and farming. **Do not buy leads for the following industries:** general construction, transportation and trucking, entertainment and event businesses, marketing agencies and professional services, the flooring, painting and roofing trades, and auto sales, parts and towing.
2. **Time in business:** 4 years minimum, 6 or more preferred.
3. **Owner age:** 45 and older, with 50 to 65 as the sweet spot.
4. **FICO:** Anything is OK here, but 600 to 699 is a bit better, and sub 500 was strong too.
5. **Geography:** Live in NY, PA, OH, MA, CT, VA, MO, SC or LA. **Do not buy leads for the following states:** FL, AZ or GA.
6. **Existing advances:** Fine as long as total holdback stays under roughly 20% of revenue.
7. **Smaller advances:** Leads looking for smaller amounts of money, and customers with less than \$15,000 in monthly revenue. The smaller the advance, the better.

Exclusion List:

1. **Do not buy leads of merchants in FL, AZ or GA.**
8. **Do not buy leads of merchants in general construction, transportation and trucking, entertainment and event businesses, marketing agencies and professional services, the flooring, painting and roofing trades, and auto sales, parts and towing.**

The Numbers Behind Each Call

STATES

Bucket	RTR in 12
GA, FL, AZ	1.245
NY, PA, OH, MA, CT, VA, MO, SC, LA	1.324
All other states	1.290

Recommendation: Do not buy Georgia, Florida or Arizona. Pay our top dollar for New York, Pennsylvania, Ohio, Massachusetts, Connecticut, Virginia, Missouri, South Carolina and Louisiana. Every state not listed here we still want, just at a discount, or at least without paying a premium.

TIME IN BUSINESS

Bucket	RTR in 12
Under 4 years	1.265
4 years or more	1.303

4 to 6 years	1.289
6 years or more	1.309

Recommendation: Pay a premium for 6 or more years and a smaller premium for 4 to 6 years. Still buy leads under 4 years in business, preferably for less, and especially when the lead carries other positives. As an example, businesses under 4 years inside our nine preferred states collect 1.289 in 12, against 1.258 outside of them.

INDUSTRIES

Bucket	RTR in 12
Positive industries (the buy list above)	1.328
Negative industries (the do not buy list)	1.205
Everything else	1.289

Recommendation: This is by far the biggest differentiator I have seen in deals of \$35,000 and under, a gap of .123 between the two lists. Pay a premium for the positive industries and avoid the negative ones. I do recommend still purchasing leads for industries on neither list, since they still bring 1.289 in 12, just at a lesser price or when they also carry other positives.

FICO

Bucket	RTR in 12
Under 500	1.295
500 to 600	1.279
600 to 699	1.301
700 and up	1.261

Recommendation: All of the FICO bands perform well. 600 to 699 is our best, so I would pay a premium there, but I would not cut any of them out. 700 and up performs worst yet still clears 1.261, which is worth doing. Funding the 700s where they otherwise fit also lets us learn whether they underperform because of negative selection, meaning we only see the 700s other funders rejected, or whether they simply run this way.

AGE / BIRTHDAY

Bucket	RTR in 12
45 and older (born on or before 08/21/1981)	1.262
Under 45 (born after 08/21/1981)	1.243

Recommendation: Buy 45 and older at a premium. Even though 1.243 in 12 sits under what we are looking for on its own, still buy under 45 when the lead is mixed with other positive traits we want.

UNDERWRITTEN AVERAGE SALES

Bucket	RTR in 12
Under \$15,000 per month	1.322
\$15,000 to \$75,000 per month	1.279
Over \$75,000 per month	1.317

Recommendation: These are all good for us, with the bulk of our deals sitting in the \$15,000 to \$75,000 range. I would buy all of them, but put a premium on average sales under \$15,000 and over \$75,000. Vendors will not know a merchant's sales, but lead sources likely to skew toward smaller merchants may be interesting places to go.

POSITIONS / AFFORDABILITY

Recommendation: Getting leads that already have an MCA is fine. Trust our affordability work. It is best when the total holdback across all positions stays under roughly 20% of revenue.